BANKING

Monetary Policy

* Quantitative / General
  a) Open market operation
     - Temporary - Repo & Reverse Repo.
     - Outright - Permanent
  b) Standing deposit facility
     → Collateral free liquidity absorption facility + Short term
  c) Marginal standing Facity
     Banks will borrow from RBI + Securities/collateral + Overnight
  d) Cash Reserve Ratio
     % of NDTL that banks will keep with RBI.
  e) Statutory Liquidity Ratio
     % of NDTL banks will keep with themselves + G-Sec / Gold / Cash
  f) Bank rate - RBI lends to Banks & charges bank rate.

Basel guidelines

a) Issued by BCBS (BIS, Switzerland)
b) Basel 1 - 1988, CAR - 8% of RWA
b) Basel 2 - 2004, CAR, 3 Pillars.
   - Capital requirement, Supervisory review, Market Discipline.
c) Basel 3 - 2010, higher Tier 1 Capital, Capital Conservation buffer, Liquidity Coverage Ratio.
d) Tier 1 Capital - Core Capital
   Tier 2 Capital - Supplementary.

Qualitative

* ~~Quantitative~~ / Specific
  a) Priority Sector Lending
     Rationing of Credit + % of ANBC to be given to 8 Sectors.
  b) Regulation of Consumer Credit.
     RBI will restrict Certain Credit related options on Consumer loans.
  c) Variation of margin require-ments.
  d) Direct Action
  e) Moral Suasion.

RBI

a) Recommended by Hilton Young Commission.
b) RBI Act 1934.
c) Central Board of Director
d) Functions
   i) Banking Regulator.
   ii) Lender of last Resort
   iii) Banker to government
   iv) Currency
   v) Managing forex
   vi) Credit Control / Monet-ary Policy.
   vii) Inflation Control.

Lending Rates

* Marginal Cost of funds based lending Rate (MCLR)
  a) minimum interest rate that banks charges for loans
  b) Calculated based on marg-inal cost of funds, operating costs, -ve carry on CRR, tenor premium.
* External Benchmarking
  a) 1st Oct 2019
  b) Janak Raj Committee
  c) Better monetary policy transmission.

Types of Bank

a) Scheduled - 2nd Schedule of RBI Act 1934, minm paid up Capital of ₹5 lakh.
b) Non-Scheduled.
c) Public Sector banks -
d) Pvt Sector banks.

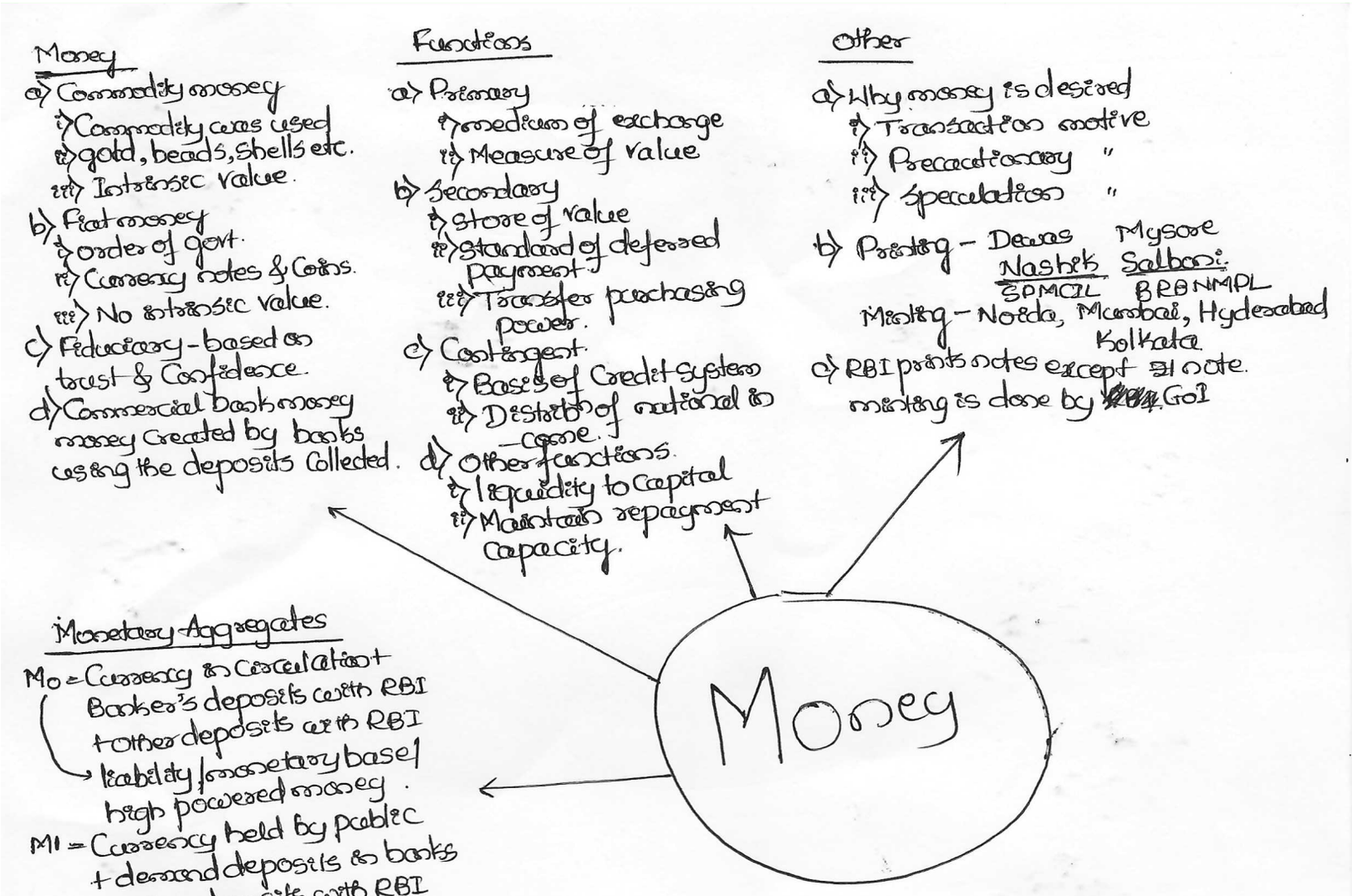
e) Regional Rural Banks (RRBs)
   i) RRB Act 1976.
   ii) Narasimham Committee
   iii) One State one RRB.
   iv) Rural & Semi Urban areas.
f) Urban Co-op banks.
   i) PSL - 60%.
g) Payment banks.
   i) differentiated banks.
   ii) No lending
   iii) Connect as Banking Corr; offer value added Services.
   iv) deposits up to ₹2 lakh;
   v) SLR - 75%
   vi) Paid up Capital - ₹100 Cr.
h) Lead Bank Scheme - 1969
   i) Area approach
   ii) Nariman Comm + Gadgil Study group
   iii) One district + Lead Bank.

i) Small Finance Bank
   i) Paid up Capital - ₹200 Cr
   ii) Focus is on unserved & underserved
   iii) Differentiated banks.
j) Development banks or Dev. Financial Institu.
   a) NaBFID
   b) NABARD
   c) SIDBI
   d) EXIM
k) Local Area Bank (LAB)
   i) LAB Scheme - 1996
   ii) Set up under Sec 22 of Banking Reg Act 1949
   iii) limited - 2 to 3 distrcts.

Automated Teller Machine

a) Brown label ATM.
   i) operated & maintained by a Service provider.
   ii) Logo of Sponsor bank.
b) White label ATM
   i) owned, operated & main-tained by a non-banking entity.
   ii) Logo of entity.

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Money

a) Commodity money
   i) Commodity was used
   ii) gold, beads, shells etc.
   iii) Intrinsic value.
b) Fiat money
   i) order of govt.
   ii) Currency notes & Coins.
   iii) No intrinsic value.
c) Fiduciary - based on trust & Confidence.
d) Commercial bank money
   money created by banks using the deposits collected.

Functions

a) Primary
   i) medium of exchange
   ii) Measure of value
b) Secondary
   i) store of value
   ii) Standard of deferred payment.
   iii) Transfer purchasing power.
c) Contingent
   i) Basis of Credit system
   ii) Distrib of national income.
d) Other functions.
   i) liquidity to Capital
   ii) Maintain repayment capacity.

Other

a) Why money is desired
   i) Transaction motive
   ii) Precautionary "
   iii) Speculation "
b) Printing - Dewas Mysore
   Nashik Salboni
   SPMCIL BRBNMPL
   Minting - Noida, Mumbai, Hyderabad
   Kolkata
c) RBI prints notes except ₹1 note.
   minting is done by ~~RBI~~ GoI

Monetary Aggregates

M_0 = Currency in Circulation
   + Bankers's deposits with RBI
   + other deposits with RBI
   → liability / monetary base / high powered money.

M_1 = Currency held by public
   + demand deposits in banks
   + other deposits with RBI

M_2 = M_1 + Post office savings dep-sits.

M_3 = M_1 + Time deposits with ~~RBI~~ Banks

M_4 = M_3 + deposits with post office.

NBFCs

a) Features
   1) No demand deposit
   2) No deposit insurance
   3) Cannot issue their own chequebooks
   4) Mainly regulated by RBI
      (+ IRDA + SEBI etc)
b) RBI → Scale Based Regulation.
   1) Base layer
   2) Middle layer
   3) Upper layer
   4) Top layer.

Payment Systems

a) NEFT - National Electronic Fund Transfer.
   1) ~~RBI~~ RBI
   2) Available 24x7
   3) Settlement - in batches.
   4) No maximum limit
b) RTGS - Real Time Gross Settlement
   1) RBI
   2) Minimum - ~~2~~ lakh, no upper Cap
   3) Settlement - Real time
   4) Available - 24x7
c) IMPS - Immediate Payment Service
   1) NPCI
   2) Available 24x7
   3) Settlement - Real time.
d) UPI - Unified Payments Interface.
   1) NPCI
   2) Settlement - Real time
   3) Available - 24x7
   4) Uses - Day today payments, merchant payments, transfers

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Money Mkt

a) Used for short term lending or borrowing.
b) Instruments have maturity period of less than 1 year
c) Main regulator – RBI
d) Focus on financing working Capital.

Capital market

a) Promotes Capital formation
b) long term instruments (more than 1 year)
c) Main regulator - SEBI.

Money mkt

a) issued at discount & redeemed at par - TB, CP, CD
b) Negotiable instruments.
– CD, CP, TB, CB

Capital market - Debt mkt

a) Bonds. - debt instruments.
⇒ issued by Centre, State (SDLs), Pvt Sector Companies, govt Companies, international organisations.
⇒ Convertible
⇒ non-Convertible
⇒ Zero Coupon - issued at discount & redeemed at face value
⇒ Indexed - the returns are indexed / linked with an index

SEBI

a) Securities Exchange Board of India
b) Set up in 1988 & statutory status in 1992
c) 9 members (Sec 4 of SEBI Act)
d) HQ - Mumbai.

Primary Dealers.

a) Are financial institutions authorised by RBI to participate in primary mkt of g-sec.

Money mkt

a) Repo & Rev. Repo.
b) Collateralised borrowings & lending obligations (CBLO)
⇒ Fin. institutions use the g-Sec (govt bonds) to borrow.
⇒ replaced by Tri-Party Repo (TREPS) in 2019
• 3rd party takes care of assets (custody & guarantees payment.
c) Call money mkt (CMM)
⇒ one bank lends to another for short duration.
⇒ one day = Call money
2-14 = notice money.
⇒ RoI = Call money rate.

Capital market - Equity mkt

a) Primary – New issuance.
Secondary – issued instruments are traded (BSE, NSE)
b) Shares - represents ownership of company.
⇒ Preference - these get dividends before equity shareholders; fixed dividend; No voting rights
⇒ Equity - get dividends later; dividends vary; voting rights.

Alternate Investment Funds.

a) Regulated by SEBI.
b) investment vehicle involving pooling of capital.
c) 3 categories.
⇒ 1 - direct impact on the economy (social venture funds)
⇒ 2 - pvt equity or debt funds.
⇒ 3 - hedge funds.

d) Commercial bills. (CB)
⇒ bills are drawn by the seller on the buyer
⇒ In case of emergency, the seller transfers ownership.
e) Commercial Papers (CP)
⇒ are issued by highly rated Corporations.
⇒ Are transferable.
f) Certificates of Deposits (CD)
⇒ are issued by financial institutions.
⇒ Are transferable.
g) Treasury bills. (TB)
⇒ issued by Centre.
⇒ have maturity period of upto 1 year.

c) IPO - Initial Public offering
FPO - Follow on Public offer.
d) NSE - National Stock Exchange; established in 1992; base year as of 1995; 50 stocks
e) BSE - Bombay Stock Exchange; base year is 1979; 30 stocks

MIIs

a) Market Infrastructure Institutions.
b) Institutions / facilities helping in day to day operations.
c) Exchanges, clearing Corporations, depositories.

Derivatives

⇒ are defined & included by amending the securities Controls (Regulation) Act 1956

⇒ Amended in 1999 & trading Commenced in 2000.

⇒ Are Contracts between 2 parties. The value of the Contract is derived from underlying asset.

⇒ These can be Over The Counter (OTC) or Exchange Traded (Standard Contracts).

Forwards

a) Agreement bet^n 2 parties to buy/sell asset on a fut-ure date at a price decided today.

b) OTC - negotiated privately

c) Counterparty risk.

d) Structured to the unique needs.

Futures

a) Are exchange traded contracts.

b) Standardised Contracts.

c) High liquidity.

d) Regulated by SEBI.

e) clearing house to miti-gate the Counterparty risk. (parties pay mar-gin).

Options

a) The buyer/holder of the Contract has the right to buy/sell the asset but not an obligation.

b) Call - right to buy
Put - right to sell.

c) The buyer pays premium

d) The writer/seller is under obligation

Swaps

a) 2 parties agree to exchan-ge/swap cash flows or financial obligations.

b) used mainly to hedge risk, or reduce borrow-ing costs, manage expo-sure etc.

c) eg - interest rate swap, Credit default swap, Total Return swap etc.

Minimum Support Price (MSP)

⇒ price paid by govt to farmers on procuring foodgrains.
⇒ 22 Crops + 1 (Sugarcane - FRP)
⇒ CACP → CCEA.
⇒ Announced before Sowing Season.
⇒ Not legal (No law for MSP)
⇒ A2+FL
⇒ 7 Cereals, 5 Pulses, 7 oilseeds & Commercial Crops.
⇒ States announce bonus over MSP.
⇒ For Sugarcane, the States announce State Advisory Price (SAP).

Food Subsidy

⇒ Centre incurs food subsidy exp-enditure.
⇒ Centralised procurement - FCI procures in central pool or state procures & hands over. The foodg-rains are then allocated to the same state or moves surplus to other states.
⇒ Decentralised Procurement - the States undertakes procurement & then distributes. Excess will be handed over to FCI.

National Food Security Act

⇒ NFSA 2013.
⇒ 2/3rds of total population (50% urban ; 75% rural)
⇒ Priority House Holds (PHH)
↳ 5kgs / person per month
Antyodaya Households (AAY)
↳ 35 kgs / family per month
⇒ Grievance - DGRO → SGRO
⇒ States to identify the benefi-ciaries.
One Nation One Ration Card (ONORC)
↳ Ration Card Portability Implemented Across India.
Department of Food & Public Distn.
2 Systems - IM-PDS (Inter-state)
↳ Annavitaran (intra-state).

Kisan Credit Card Scheme (KCC)

⇒ Launched in 1998
⇒ Covers owner Cultivator farmers, tenant farmers, Share croppers etc.
⇒ SHGs are also covered.
⇒ loans are provided for inputs, post harvest expenses, working capital loans for allied activities, consumption needs of households.
⇒ loans for fisheries & allied activities increased ~~from 1 lakh~~ to ₹5 lakh
⇒ Loan limit raised from ₹3 lakh to ₹5 lakh
⇒ Collateral free loans - ₹2 lakh.
⇒ MISS - ₹3 lakh at 7% (Subvention of 3%).

Agriculture Produce Market Committee (APMC)

⇒ State law.
⇒ Notified products will be sold through the market.

ENAM

⇒ electronic National Agri-culture Market.
⇒ Small Farmers Agribusi-ness Consortium.
⇒ Integrate APMC Mandis on the platform.
⇒ Cereals, oilseeds, Fruits, vegetables, spices etc.

Exchange Rate (ER)

a) Fixed ER
   → Intervention to keep the ER at same level.
   → Need for having forex
b) Floating ER.
   ⇒ market forces of supply & demand determine ER.
c) Managed floating (Dirty Float)
   ⇒ ER is primarily determined by market forces.
   → In case of excess volatility, the central bank intervenes.

Fixed - Devaluation & Revaluation.
Floating - Depreciation & Appreciation.

Balance of Payments (BoP)

⇒ record of all transactions
⇒ Prepared by RBI. (conducts sale of official reserves)
⇒ Stabilises exchange rate. (Sterilisation).
⇒ Current A/C - transactions - incomes, transfer payments, goods & services. (primary & secondary); Balance of trade & invisibles.
⇒ Capital A/C - transactions related to assets.
⇒ IMF - BoP - 3 Accounts - Current, Capital & Financial.
⇒ Deficits.
   Trade deficit = Imports > Exports.
   Current A/C Deficit = Payments > Receipts.
   BoP Deficit = Total Payments > Total Receipts.
   BoP Crisis = exhausting forex reserves to meet external obligations.
⇒ Autonomous transactions - economic in nature.
   Accommodating transactions - done to address imbalances in BoP.
⇒ Current A/c is fully convertible.
   Capital A/C is partially convertible.

Factors - ER

a) Interest rates.
b) Trade (imports/exports)
c) Deficits (CAD).
d) Incomes
e) Inflation
f) Political stability
g) Growth

India

a) 1991 - 2 step devaluation.
b) LERMS - 1992-93
c) Market determined (India accepted art VIII of Art. of Agreement of IMF in 1994 - Current A/C Conv)

Economic Integration.

⇒ Countries reduce/eliminate trade barriers (tariffs).
⇒ Levels
   a) Preferential Trade Agreement (PTA) - Preferential treatment on selected goods.
   b) Free Trade Agreement (FTA) - Covers substantial trade.
   c) Customs Union - Countries in group will have Common external tariffs.
   d) Common market - Union where free movement of labour, Capital etc is allowed.
   e) Economic Union - Common market with Common mon-etary policy, executive etc.

Real Exchange Rate (RER) - the nominal rate is adjusted with inflation.

Nominal Exchange Rate (NER)

- the current market prices for converting ₹ to dollar.

Nominal Effective ER (NEER)

⇒ Weighted avg of ₹ with basket of Currencies.
→ Unadjusted.

Real Effective ER (REER)

⇒ Effective ER - measures real competitiveness of Currency
→ adjusted with inflation.

NEER index & REER index.
↳ Published by RBI, Base year 2015-16 | 6 & 40 Currency basket.

Purchasing Power Parity (PPP)

⇒ Compare Currencies with basket approach.
⇒ RER = 1 ⇒ Currencies are at Parity.
⇒ GDP at PPP > GDP @ NER

World Trade Organisation (WTO)

a) General Agreement on Tariffs & Trade (GATT) – 1947
b) World Trade Org^{n} (WTO) – 1995
c) India – Founding member of both.
d) Ministerial Council (highest decision making authority)
→ Functions as Dispute Settlement Body (DSB)
General Council (GC) – Representation of all member Countries (166).
e) HQ – Geneva, Switzerland.
f) Origin – Bretton Woods Conference.
g) Principles – MFN, National Treatment, Free Trade.

Dispute Settlement.

Members → DSB → Panel → Appellate Body
↓
DSB.

GC will also function as Trade Policy Review Body (TPRB)

Agreements

a) Agreement on Agriculture (AoA)
- Dennis level.
- Traffic light approach.
- Domestic support, market access, export subsidies.
- Domestic support – green box, amber & blue box subsidies.
- Peace clause.

b) GATS – General Agreement on Trade in Services.
- Services classified in 4 modes.

c) TRIPS – Trade Related aspects of Intellectual Property Rights.
- Provides uniform legal protection to IPRs

d) TRIMS – Trade Related Investment Measures.
- Applies to investment measures affecting trade in goods.

e) Agreement on Subsidies & Countervailing Measures (SCM)
- Country with per cap-ita of over $1000 must end export subsidies.
- Sector Competitive i.e. 3.25% of global exports.

International Monetary Fund

a) IMF Set up in 1944
b) 191 Countries.
c) Bretton Woods Twins – WB (World Bank) + IMF
↳ Held in 1944
d) HQ – Washington (USA)
e) Board of Governors =
⇒ highest decision making body
⇒ Governor + Alternate gov.
⇒ It is advised by Development Committee & International Monetary & Financial Committee
f) Executive Board = 24 + 1 Executive Director.

IMF Lending

Concessional – low income Countries.
- Extended Credit Facility (ECF)
- Stand by Credit Facility (SCF)
- Rapid Credit Facility (RCF)

Non-Concessional (All Countries)
- Stand By Arrangement (SBA)
- Extended Fund Facility (EFF)
- Flexible Credit Line (FCL)
- Short Term Liquidity Line (SLL)

Quota – building block of IMF.

⇒ Decided based on 4 Parameters.
⇒ GDP + openness + Economic Variability + Reserves.
⇒ quotas decide – allocation of SDRs; Voting rights; Contribution; Access to loans.

IMF – Source of funds

a) Quotas – 1st line of defense
b) New Arrangements to Borrow (NAB) – 2nd line
c) Bilateral Agreements.
↳ 3rd line.

Special Drawing Rights (SDRs)

⇒ reserve asset – 1969
⇒ Value decided by IMF
⇒ It is a notional Currency
⇒ US$, Yen, Yuan, €, £

Gold Tranche / Reserve Tranche

⇒ Upto 25% of Quota can be taken by member Countries
⇒ No Conditions, no interest.

World Bank (WB) – IBRD)

a) Set up in 1944
b) Has 189 members.
c) Board of governors
Executive Directors – Gov & Alt Gov.
d) Provides loans, guarantees, risk management etc.

World Bank Group = IBRD + IDA + IFC + MIGA + ICSID.
IBRD = Int. Bank for Reconstruction & Development.

International Dev. Association

⇒ Set up in 1960
⇒ Complements IBRD
⇒ Focuses on low income Countries
⇒ 175 members.

International Finance Corporation

⇒ Set up in 1956; 184 members
⇒ Focused on private sector in developing Countries.

Multilateral Investment Guarantee Agency

– Set up in 1988; Reduce poverty; provide insurance & guarantees; Cross border investments in developing Countries.

International Centre for Settlement of Investment Disputes

⇒ Set up in 1966
⇒ International investment dispute settlement
⇒ 165 members.
⇒ Set up under ICSID Convention.

Foreign Direct Investment (FDI)

⇒ Arvind Mayaram Committee.
* Listed Companies - foreign investors owning 10% or more.
* Unlisted - foreign investments in equity.
⇒ Investments in physical assets.
⇒ Routes.
* Automatic / Direct - investors do not need any prior approval. In 30 days need to inform RBI.
* Approval / govt - investors require prior approval.
- Upto ₹5000Cr - Foreign Investment Facilitation Portal.
- Above ₹5000Cr - Approvals taken from CCEA.
⇒ Depository Receipts (DRs).
* Instruments that represent shares of a foreign company.
* These are issued by banks.
* American DRs - issued in USA.
Global DRs - issued outside eg - ecurope.
Indian DRs - issued in India.

Social Stock Exchange (SSE).

⇒ Separate Segment under NSE & BSE.
⇒ Will help social enterprises & non-profit organisations to raise funds.
⇒ Zero Coupon Zero Principal Bonds.
⇒ Regulated by SEBI

Foreign Portfolio Investment

⇒ FPI
⇒ SEBI has categorised them into 2 Categories.
* Cat 1 - SWFs, Central banks, other financial institutions etc.
* Cat 2 - Individuals, family offices, charitable trusts etc.
⇒ Routes.
* General route - restrictions.
* Voluntary Retention Route.
* Fully Accessible Route.

Round Tripping - Money leaves a Country & returns in a form of foreign investment.

Treaty Shopping - money leaves a Country, goes to intermediary Country & then returns in the form of investment.

Alternate Investment Funds

⇒ AIF - Venture Capital, hedge funds etc.
⇒ Regulated by SEBI
⇒ Pooled funds are invested
⇒ Category 1 - Social Venture funds, Venture Capital funds etc.
⇒ Category 2 - Private equity funds, debt funds.
⇒ Category 3 - hedge funds.

Infrastructure Inv. Trust

⇒ InvIT
⇒ Regulated by SEBI.
⇒ Investment vehicle that pools money & invests in infrastructure projects.
⇒ maximum 20% in under-construction projects. At least 80% in Completed projects.
⇒ At least 90% of distributable cash flow to be distributed to unit holders
⇒ minimum 15% from sponsors.

Real Estate Inv. Trust

⇒ REIT.
⇒ Investments in real estate projects.
⇒ Listed.

Taxation

Taxation Systems

a) Direct tax - tax burden cannot be shifted
b) Indirect - tax burden is shifted
c) Progressive - I↑ tax rate↑
d) Regressive - Income↑ % rate of income paid↓
e) Proportional - % of income paid in tax remains same.
f) Countervailing - import duties to offset the subsidy benefit.
g) Anti dumping - duties imposed to offset the impact of dumping.
h) Safeguard duties - to protect dom-estic producers from sudden surge in imports.
i) Advalorem - imposed on the value
j) Specific - imposed on physical attributes - length, volume etc. per unit taxes.
k) Surcharge - Additional tax
l) Cess - imposed to achieve specific objective.

GST

a) 101st Constitutional, one nation one tax.
b) Features → Destination based tax
1) 5%, 18% (most important rates)
2) Dual GST - CGST & SGST. IGST
3) GST Council - Art 279A
→ Centre + States + UTs (Leg. Assembly)
→ Recommendations are not binding on Centre
→ headed by finance minister.
→ Quorum - 50%.
→ voting power - Centre 1/3rd States 2/3rd + UTs
→ decision - 75% of P & Voting.
4) Input tax Credit
c) GSTAT
1) Statutory body - CGST Act 2017
2) Single, Unified appellate forum
3) One nation one forum.
4) Principal bench - New Delhi. +31 benches
→ Benches - 2 judicial + 1 Central tech member + 1 State tech. member.
d) GSTN → Section 8 Company. 50% Centre + 50% States.

Base Erosion & Profit Shifting

a) OECD + G20.
b) 15 Action Pillars.
c) Tax avoidance strategy.
d) BEPS 2.0
i) Pillar 1 - part of profits to be given to Countries. → 20 bn euros. - MNEs.
ii) Pillar 2 - GMCT of 15%. MNEs - 750 mn euros.

Minimum Alternate Tax

a) introduced in Fin. Act 1987 Came in to force FY 89
b) Target zero tax Compani
c) Withdrawn & reintroduc -ed on 1st April 1997
d) Income Tax Act - Sec 206(J)
e) MAT Rate - 14%

General Anti-Avoidance Rules

a) Impermissible Avoidance Arrangement (IAA)
b) Panchastarathi Sheena Comm
c) Chapter X1 in ITA 2025
d) In force - 1st April 2017
e) Substance over form

Capital gains tax

a) buy & sell an asset. Selling price > acquisition Cost.
b) based on holding period
i) Short term Capital gains tax
ii) Long term Capital gains tax
c) Asset - movable or immovable

Securities Transaction Tax

a) Levied on Securities traded on Stock exchanges.
b) Introduced - Finance Act 2004
c) Levied on value of transaction

Income Tax

a) Income Tax Act 2025
b) Covers individuals, Companies, HUF.

Double Taxation Avoidance Agreement

a) Treaty signed bet Countries.
b) Agreement could be Comprehensive or limited
c) double taxation is avoided
d) Taxes paid abroad - Credits are provided.
e) Provision under ITA - Sec 159

Advanced Pricing Agreement

a) Finance Act 2012
b) mechanism to resolve tran -sfer pricing issues in adv -ance
c) APAs are entered into by CBDT with taxpayers.

Taxation Concepts

a) Tax planning - legally reducing tax liability
b) Tax Avoidance - exploiting the loopholes
c) Tax evasion - using illegal practices.
d) Tax deduction - expenditure are deducted.
e) Exemption - not Counted as a part of income
f) Rebate - reduces the final tax payable.
g) Tax elasticity - change in tax Collected with change in tax rate
b) Tax Buoyancy - change in taxes Collected with change in GDP (%)

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Budget

1) Revenue A/c - Exp/income dur -ing day to day activities; No change in Assets/Liabilities.
   a) Rev. Receipts - income earned tax, non-tax, dividends etc.
   b) Rev. Exp - int. paid, welfare schemes, GCCA
2) Capital A/c - change in Asset/liab
   a) Cap. Receipts - A ↓ L ↑ Recovery of loans, disinvestment, borrowings.
   b) Cap. exp - A ↑ L ↓ infra, repayment of loans, loans to states etc.

Deficits

1) Revenue deficit (RD)
   = RE − RR
2) Effective Revenue Deficit (ERD)
   = RD − GCCA.
3) Fiscal Deficit (FD)
   = Tot. exp − Non debt Creating receipts.
4) Primary deficit (PD)
   = Fiscal deficit − int. payment.

Total liabilities of Centre.
↳ Public debt + Public A/C + Extra budg. resources.

FRBM Act 2003

1) Fiscal Responsibility & Budget Management.
1) RD = 0%, FD = 3%
2) No direct monetization
3) Statements.
   → Macro-economic Fra -mework Statement
   → Medium Term Fiscal Policy Statement.
   → Fiscal Policy Strat -egy statement.

NK Singh / FRBM Review

a) debt to GDP ratio.
   ↳ 60% (C - 40%, S - 20%)
b) Fiscal Council
c) Targets for FD, RD
d) Escape clause.

Finance Commission

1) Constitutional body - Art 280
2) Composition - 1 + 4
3) Most imp. function - recommend devolution.
4) 16th FC - Arvind Panagariya.
   i) Vertical - 41%
   ii) Horizontal - Population 2011 (17.5%), Demographic performance (10%), Area (10%), forest Cover (10%), GDP distance per capita (42.5%), Contribution to GDP (10%)
   iii) Grants in Aid - ₹ 9.47 lakh Cr
   iv) FD - 3.5% of GDP by 2030-31
   Combined debt - 73.1% " "
   v) States review their Subsidy exp.
   vi) States to pursue privatisation of discoms.

GDP

* Gross Domestic Product
* Market price of all goods & Services produced within the territory.
* Only final goods & Services are considered.
* Published by MoSPI.
* Three methods – Income method, expenditure method, ~~[illegible]~~, Production method.
* Base year – 2022-23.

GNP

* Gross National Product
* Market price of all final goods & Services produced by residents of a Country.
* GNP = GDP + NFIA.
* It is focussed on residence
* NFIA = Net factor income from abroad.

NDP

* Net Domestic Product.
* Market price of all final goods & Services after adj-usting for depreciation.
* depreciation = reduction in the value of the asset
* NDP = GDP – Depreciation.

NNP

* Market price of all final goods & Services produced by residents of a country after adjusting for depreciation.
* NNR = GNP – Depreciation.
* NNP at Factor Cost is the purest form of income.

National Income

* Real = Calculated at base year prices.
* Nominal = Calculated at prevail-ing prices.
* GDP Deflator = Implicit price deflator. $\frac{\text{Nominal gdp}}{\text{Real gdp}}$.
* Potential gdp = maximum gdp by utilising the resources effi-ciently at full employment.
* deflationary = output < Potential gap
* Inflationary = output > Potential gap
* Recession = –ve gdp growth in 2 consecutive quarters.
* Depression = Severe recession

Inflation

Rise in price levels of a basket of products

Based on rates

* Creeping - upto 3% p.a
* Walking - upto 10% p.a.
* Galloping - 10 to 50% p.a
* Hyper - more than 50% per month

Cost push

* Supply side factors.
* Cost of raw materials ↑
* Govt taxes on products ↑
* Hoarding, Cartelisation

Demand pull

* demand side factors.
* high growth in economy
* Increased money supply
  - Monetary Policy
  - high govt expenditure

Measures

* WPI
  - → Wholesale price Index
  - ⇒ Basket has only goods (697)
  - ⇒ Base year 2011-12
  - ⇒ Manufacturing - 64%
    Primary - 23%
    Fuel & Power - 13%
  - → Office of Economic Advisor (Ministry of Commerce)

CPI

* Consumer Price Index
* Basket has goods & services (358)
* Base year = 2024.
* NSO (MoSPI)
* Food & Beverage - 36.8%

Flexible Inflation Targeting

* MPFA Signed in 2015
* 3rd accord = 2026 to 2031
* Target = 4% ± 200 bps.
* Headline CPI is targeted
* Responsibility with RBI

other Concepts

* Headline - Complete basket.
* Core = basket - products whose prices are volatile.
* Deflation - negative inflation
* Disinflation - inflation rate slowing down.
* Stagflation - high inflation rate, high unemployment rate, slow growth

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Population

→ Labour force (economically active).
  * Employed.
  * Unemployed.

→ Non-workers. – Not active economically. Not searching for jobs.

Unemployment types.

a) Frictional – Unemployed when switching from one job to another.

b) Structural – adoption of technology makes some skills outdated.

c) Natural – Unemployment when economy is operating/working normally (Frictional + structural)

d) Cyclical – Unemployment because of economic cycle phase (recession)

e) Seasonal – Change in season/weather results in unemployment.

f) Disguised – Zero change in marginal productivity.

g) Voluntary – not willing to work at current wages.

h) Open – person willing to work but does not get work. (at prevailing wages)

Measurement

a) Periodic Labour Force Survey (PLFS)
  → Launched in 2017
  → Published by NSO
  → Two main approaches Usual Status & Current weekly status.
  → Published monthly

Ratios.

a) Unemployment Rate = $\frac{\text{Unemployed}}{\text{Labour force}} \times 100$

b) Worker Pop° Ratio = $\frac{\text{Workers}}{\text{Population}} \times 100$

c) Labour Force Participation Rate (LFPR) = $\frac{\text{Labour force}}{\text{Working Age Pop°}}$

MSME

⇒ Definition.

	Inv	Turnover
Mi	2.5 Cr	10 Cr
Sm	25 Cr	100 Cr
Me	125 Cr	500 Cr

⇒ MoMSME formed in 2007

Index of Industrial Production

⇒ IIP
⇒ Published by NSO
⇒ 3 sectors - Electricity, Mining & Manufacturing
⇒ Base year - 2011-12 (changed to 2022-23)

Index of eight Core Industries

⇒ ICI
⇒ Office of Economic Advisor.
⇒ Base year = 2011-12 (changed to 2022-23)
⇒ 8 industries - Refinery products, electricity, Steel, Coal, Crude oil, natural gas, Cement, fertiliser
⇒ has 40.27% of IIP

Disinvestment

⇒ Sale of assets by the govt.
⇒ Methods
a) Strategic - entire/substantial sale of govt ownership.
b) Minority stake sale - Sale of ownership without transfer of management Control - IPO, OFS, Buybacks, FPO, ETF.
⇒ Proceeds are Credited into National Investment Fund (NIF)
⇒ Funds are used in rights issues by CPSE; Capex in railways, metro projects; recapitalisation of PSBs.
⇒ New Public Sector Enterprise (PSE) Policy 2021 → Strategic & non-strategic.

Planning

* **Planning Commission.**
  - ⇒ Set up in 1950.
  - ⇒ Set up through executive resolution
  - ⇒ Chaired by PM
  - ⇒ 12 Five Year Plan (FYP).
  - ⇒ 1st FYP – 1951
* **National Development Council**
  - ⇒ Set up in 1952
  - ⇒ Set up through executive resolution.
  - ⇒ Participation of States.
  - ⇒ Chaired by PM.

National Institute for Transforming India

- ⇒ NITI Aayog.
- ⇒ Formed on 1st Jan 2015
- ⇒ Promote Co-op & Competitive federalism.
- ⇒ **Indices** – Composite Water Management Index; Export Preparedness Index; SDG India Index; Fiscal Health Index; Multi Dimensional Poverty Index; Aspirational Districts Programme.